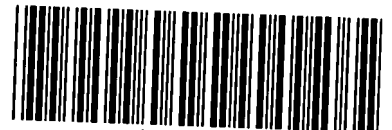


Registered Number: 00095489

Manchester United Football Club Limited
Annual report and financial statements
for the year ended 30 June 2020

TUESDAY



A9KGØI9F

A19

22/12/2020

#583

COMPANIES HOUSE

Manchester United Football Club Limited

Contents

	Page
Strategic Report.....	3
Directors' Report	4
Independent auditors' report to the members of Manchester United Football Club Limited	10
Statement of profit or loss	12
Statement of comprehensive income.....	13
Balance sheet.....	14
Statement of changes in equity.....	16
Notes to the financial statements.....	17

Manchester United Football Club Limited

Strategic Report

Manchester United Football Club Limited (the "Company") is a professional football club and part of the Red Football Limited (the parent undertaking of the smallest group of undertakings to consolidate these financial statements) group (the "Group"). The directors present their Strategic Report on the Company for the year ended 30 June 2020.

Review of the business

Revenue for the year ended 30 June 2020 has been significantly impacted by the COVID-19 pandemic and governmental measures to manage the spread of the disease. Government imposed restrictions resulted in the suspension of all Premier League, FA Cup and UEFA Europa League matches from 13 March 2020. The Premier League and FA Cup resumed in June 2020 and the UEFA Europa League resumed in August 2020. All remaining matches were played behind closed doors. The postponement has resulted in the deferral of a number of matches, originally expected to be played in the financial year ended 30 June 2020, as well as the remaining matches being played behind closed doors, the impact of which was to reduce Broadcasting and Matchday revenues for the year ended 30 June 2020. Broadcasting revenue has been further impacted by rebates due to broadcasters following disruption of the 2019/20 competitions. Further, Old Trafford and its flagship Megastore operations as well as Museum, Stadium Tour and Red Café operations were closed in mid-March 2020. The Old Trafford Megastore re-opened during June 2020 with a variety of safety measures in place in line with Government guidance. The stadium and Museum and Stadium Tour operations remain closed. Accordingly, this resulted in a loss for the year ended 30 June 2020.

Revenue for the year was £487,460,000 (2019: £601,935,000). Operating profit before other income, other expenses and profit on disposal of intangible assets for the year was £703,000 (2019: £31,854,000). Other income for the year was £8,761,000 (2019: £9,513,000), other expenses for the year were £13,299,000 (2019: £10,040,000) and profit on disposal of intangible assets for the year was £18,370,000 (2019: £25,799,000). Loss before tax for the year was £17,744,000 (2019: profit of £28,379,000). Loss before tax for the year includes net finance costs of £32,279,000 (2019: £28,747,000).

Overall, the net assets of the Company decreased by £66,704,000 to £49,049,000 as at 30 June 2020.

Principal risks and uncertainties

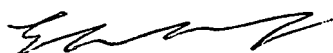
From the perspective of the Company, the principal risks and uncertainties are integrated with the principal risks of the Group and are not managed separately. Accordingly the principal risks and uncertainties of the Group, which include those of the Company, are discussed in the Strategic Report section of the Red Football Limited Annual Report and financial statements which does not form part of this report.

Key performance indicators

The directors of Red Football Limited manage the Group's operations on a group basis. For this reason, the Company's directors believe that analysis using key performance indicators for the Company is not necessary or appropriate for an understanding of the development, performance or position of the business of Manchester United Football Club Limited. The development, performance and position of the Group, which includes the Company, are discussed in the Strategic Report section of the Red Football Limited Annual Report and financial statements, which does not form part of this report.

The Annual Report and financial statements of Red Football Limited can be obtained from the Company Secretary, Red Football Limited, Old Trafford, Manchester, M16 0RA.

On behalf of the board



E Woodward
Director

23 October 2020

Manchester United Football Club Limited

Directors' Report

The directors present their report and audited financial statements of the Company for the year ended 30 June 2020.

Going concern

The directors have a reasonable expectation that the Company has adequate resources to continue in operational existence for twelve months from the date of approval of these financial statements. Accordingly, they continue to adopt the going concern basis in preparing the annual report and financial statements.

Further detail in relation to this conclusion can be found in note 2 to the financial statements.

Dividends

Dividends amounting to £44,534,000 were paid during the year (2019: £23,326,000). The directors do not recommend the payment of a final dividend (2019: £nil).

Future developments

The COVID-19 pandemic continues to have a material impact on our business. The Company continues to explore new commercial opportunities within the UK and overseas to further leverage the business.

Financial risk management

The Company's activities expose it to a variety of financial risks: market risk (including foreign exchange risk and cash flow and fair value interest rate risk), credit risk and liquidity risk. The Company uses derivative financial instruments to hedge certain exposures. The policy for each of the above risks is described in more detail below.

a) Market risk

(i) Foreign exchange risk

The Company is exposed to the following foreign exchange risks:

- Significant revenue received in Euros primarily as a result of participation in European cup competitions. The Company seeks to hedge the majority of the foreign exchange risk of this revenue either by using contracted future foreign exchange expenses (including player transfer fee commitments) or by placing forward contracts, at the point at which it becomes reasonably certain that it will receive the revenue.
- Significant amount of commercial revenue denominated in US dollars. The foreign exchange risk on these US dollar revenues is hedged to the extent possible (see note 2.18 below).
- Risks arising from the US dollar denominated secured term loan facility and senior secured notes (see note 22). The foreign exchange risk on these US dollar borrowings (net of a portion of the Company's US Dollar cash balances) is hedged to the extent possible (see note 2.18 below). Interest is paid on these borrowings in US dollars.
- Payment and receipts of transfer fees may also give rise to foreign exchange exposures. Due to the nature of player transfers the Company may not always be able to predict such cash flows until the transfer has taken place. Where possible and depending on the payment profile of transfer fees payable and receivable the Company will seek to hedge future payments and receipts at the point it becomes reasonably certain that the payments will be made or the income will be received. When hedging income to be received, the Company also takes account of the credit risk of the counterparty.
- Payments of operating expenses may also give rise to foreign exchange exposures. The Company seeks to hedge future payments either by using foreign exchange revenue or by placing forward contracts.

Manchester United Football Club Limited

Directors' Report (continued)

Financial risk management (continued)

(ii) Cash flow and fair value interest rate risk

The Company has no significant interest bearing assets other than cash on deposit which attracts interest at a small margin above UK base rates.

The Company's interest rate risk arises from its borrowings. Borrowings issued at variable interest rates expose the Company to cash flow interest rate risk. Borrowings issued at fixed rates expose the Company to fair value interest rate risk. The Company's borrowings are denominated in US dollar. Full details of the Group's borrowings and associated interest rates can be found in note 22.

The Company manages its cash flow interest rate risk where considered appropriate using interest rate swaps. Such interest rate swaps have the economic effect of converting borrowings from floating rates to fixed rates.

(iii) Credit risk

Credit risk arises from contract assets, trade and other receivables (excluding amounts owed by group undertakings and prepayments), favourable derivative financial instruments, and cash and cash equivalents.

The Company applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected provision for impairment for all trade receivables, other receivables and contract assets. To measure the expected credit losses, trade receivables, other receivables and contract assets have been grouped based on shared risk characteristics and the days past due. Contract assets relate to unbilled revenue and have substantially the same risk characteristics as the trade receivables for the same types of contracts.

Credit terms offered by the Company vary depending on the type of sale. For seasonal Matchday facilities payment is usually required in advance of the season to which the sale relates. For other sales the credit terms typically range from 14 - 30 days, although specific agreements may be negotiated in individual contracts with terms beyond 30 days. For player transfer activities, credit terms are determined on a contract by contract basis. Of the total trade receivables balance of £154,163,000 (2019: £30,376,000), £57,726,000 (2019: £18,270,000) relates to amounts receivable from various other football clubs in relation to player trading.

While amounts owed by group undertakings, other receivables, favourable derivative financial instruments, and cash and cash equivalents are also subject to the impairment requirements of IFRS 9, the identified provision for impairment was immaterial.

b) Liquidity risk

The Company's liquidity position and short-term debt finance ensures that it has sufficient funds available for short-term working capital requirements and for investment in the playing squad and other capital projects. The annual cash flow is cyclical in nature with a significant portion of cash inflows being received prior to the start of the playing season. Ultimate responsibility for liquidity risk management rests with the Executive Directors of Manchester United plc. The Executive Directors use management information tools including budgets and cash flow forecasts to constantly monitor and manage current and future liquidity. Cash flow forecasting is performed on a regular basis which includes rolling forecasts of the Company's liquidity requirements to ensure that the Company has sufficient cash to meet operational needs.

Events after the balance sheet date

Information about events after the end of the reporting period can be found in note 26 to the financial statements.

Manchester United Football Club Limited

Directors' Report (continued)

Directors

The directors who held office throughout the year and up to the date of signing the financial statements (unless otherwise stated) were as follows:

R Arnold

Sir R Charlton CBE

J M Edelson

Sir A Ferguson CBE

D A Gill

A Glazer

B Glazer

J Glazer

K Glazer

D Glazer Kassewitz

E Glazer

E Woodward

Qualifying third party indemnity provisions

At the time the report was approved a qualifying third party indemnity provision, made by Manchester United plc was in place for the directors of Manchester United plc and its subsidiary companies. This qualifying indemnity provision was in force throughout the financial year.

Statement by the directors in performance of their statutory duties in accordance with Section 172(1) of the Companies Act 2006

The directors of the Company must act in accordance with a set of general duties. These duties are detailed in Section 172 of the Companies Act 2006 which is summarised as follows:

A director of a company must act in the way they consider, in good faith, would be most likely to promote the success of the company for the benefit of shareholders as a whole and, in doing so have regard (amongst other matters) to:

- the likely consequences of any decisions in the long-term;
- the interests of the company's employees;
- the need to foster the company's business relationships with suppliers, customers and others;
- the impact of the company's operations on the community and the environment;
- the desirability of the company maintaining a reputation for high standards of business conduct; and
- the need to act fairly as between shareholders of the Company.

The following paragraphs summarise how the directors' fulfil their duties:

Risk Management

From the perspective of the Company, the principal risks and uncertainties are integrated with the principal risks of the Group and are not managed separately. Accordingly the principal risks and uncertainties of the Group, which include those of the Company, are discussed in the Strategic Report section of the Red Football Limited Group's Annual Report and financial statements which does not form part of this report.

Manchester United Football Club Limited

Directors' Report (continued)

Statement by the directors in performance of their statutory duties in accordance with Section 172(1) of the Companies Act 2006 (continued)

Our People

The Company is committed to its 'people philosophy' and, as a result, to promoting policies which ensure that employees and applicants for employment are treated fairly and consistently. The Company has an equal opportunities policy, the aim of which is to ensure employees or applicants for employment are not discriminated against on the grounds of age, disability, ethnic origin, nationality or national origin, religion, race, gender, sexual orientation, gender re-assignment, marital status or family circumstances. Entry into and progression within the Company is determined solely by the job criteria and personal ability/competence.

The Company also seeks to apply best practice in the employment, training, development and promotion of disabled persons. The Company takes seriously its statutory obligations relating to disabled persons and seeks not to discriminate against current or prospective employees because of a reason relating to their disability. If an existing employee becomes disabled, such steps that are practical and reasonable are taken, in respect of adjustments to premises or employment arrangements, to retain him/her in employment. Where appropriate, rehabilitation and suitable training are given.

Employees are regularly updated on the performance of the Company. This is achieved through a broad base of communications including monthly management meetings, staff briefings and announcements. Employees' views are sought through staff surveys and action plans are then developed to target priority for improvement areas. The Company is continuing with its focus on reward and recognition of performance as one of these priorities for improvement and its focus on a total reward strategy which has three principal components: compensation (pay package), benefits and the work experience. Schemes are continually introduced which focus on rewarding individual performance.

The Company has established its Vision and Values and these are communicated to all employees. Our Vision and Values are directly linked to performance and development review procedures, training and organisational change programmes and reward and recognition initiatives, which apply to all our employees.

Community and Environment

We are committed to a wide-ranging community programme through Manchester United Foundation (the "Foundation"). The associated charity of Manchester United, the Foundation uses football to engage and inspire young people to build a better life for themselves and unite the communities in which they live. Dedicated staff deliver football coaching, educational programmes and personal development, providing young people with opportunities to change their lives for the better. The Foundation has partnerships with 27 high schools across Greater Manchester, in which full-time coaches are based to work with the pupils, feeder primary schools and within the local community to build lasting relationships. Other initiatives, such as Street Reds evening football sessions, girls' development provision, and the disability and inclusion programme, provide free football, alternative activities, qualifications and work experience opportunities to young people across Greater Manchester. The Foundation fulfils all charitable activity for Manchester United, including promotion of the Sir Bobby Charlton Foundation (finding innovative solutions to create a landmine-free world), and managing the club's long-term partnership with global children's organization Unicef. The United for Unicef partnership is the longest running of its kind and since the start of the partnership in 1999 has had a positive impact on the lives of millions of children across the globe. The Foundation also supports external charities by providing signed items for their own fundraising purposes.

The Company recognises its responsibility to ensure a safe and healthy environment and will endeavour to maintain sound environmental performance through the continued maintenance of our proactive environmental management system, which is integrated into our overall business activities.

Code of Business Conduct and Ethics

We have adopted a Code of Business Conduct and Ethics that applies to all our employees, officers and directors, including our principal executive, principal financial and principal accounting officers. Our code of Business Conduct and Ethics addresses, among other things, competition and fair dealing, conflicts of interest, financial matters and external reporting, company funds and assets, confidentiality and corporate opportunity requirements and the process for reporting violations of the Code of Business Conduct and Ethics, employee misconduct, conflicts of interest or other violations.

Manchester United Football Club Limited

Directors' Report (continued)

Statement by the directors in performance of their statutory duties in accordance with Section 172(1) of the Companies Act 2006 (continued)

Shareholders

The immediate parent undertaking is Manchester United Limited. The ultimate parent undertaking and controlling party is Manchester United plc, a company incorporated in the Cayman Islands and listed on the New York Stock Exchange.

Emissions and energy use

We report our carbon emissions following the Greenhouse Gas Protocol, which incorporates the scope 2 market-based emission methodology. We report carbon dioxide emissions resulting from energy use in our buildings and employees' business travel.

It is important to note that the carbon emissions and energy use for the year ended 30 June 2020 have been affected by the impact of the COVID-19 pandemic and the lockdown of the Old Trafford Stadium and business operations. This has resulted in a reduction in energy usage, travel and associated carbon emissions.

	2020
Carbon dioxide emissions in tonnes	
From buildings	5,282
From travel	3,378
Total	8,660
Carbon dioxide emissions in tonnes	
Per £'000,000 of revenue	18
Per number of employees	10
Energy consumption in kWh	
Total	21,939,301

Our building energy data has been calculated using invoices provided by the energy suppliers on a monthly basis. Travel data has been compiled from the use of monthly reports which detail journeys undertaken each month, including by air, company vehicles and other (e.g. rail, public transport, taxi, etc). The data is passed to external advisers who compile an annual report on our behalf.

Energy efficiency measures undertaken during the year include:

- significant investment in sub-metering throughout the Old Trafford Stadium;
- investment in an Energy Reduction Plan;
- LED lighting upgrades within car parks and forecourt areas;
- upgrade of neon signs to LED; and
- significant investment in the Building Management System (which controls all energy intensive heating, ventilation and air conditioning systems throughout the Old Trafford Stadium)

Manchester United Football Club Limited

Directors' Report (continued)

Statement of directors' responsibilities in respect of the financial statements

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulation.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have prepared the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards, comprising FRS 101 "Reduced Disclosure Framework", and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing the financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- state whether applicable United Kingdom Accounting Standards, comprising FRS 101, have been followed, subject to any material departures disclosed and explained in the financial statements;
- make judgements and accounting estimates that are reasonable and prudent; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006.

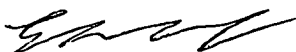
Directors' confirmations

In the case of each director in office at the date the Directors' Report is approved:

- so far as the director is aware, there is no relevant audit information of which the company's auditors are unaware; and
- they have taken all the steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the company's auditors are aware of that information.

This confirmation is given and should be interpreted in accordance with the provisions of Section 418 of the Companies Act 2006.

On behalf of the board



E Woodward
Director

23 October 2020

Manchester United Football Club Limited

Independent auditors' report to the members of Manchester United Football Club Limited

Report on the audit of the financial statements

Opinion

In our opinion, Manchester United Football Club Limited's financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2020 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards, comprising FRS 101 "Reduced Disclosure Framework", and applicable law); and
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements, included within the Annual report and financial statements (the "Annual Report"), which comprise: the balance sheet as at 30 June 2020; the statement of profit or loss, the statement of comprehensive income, the statement of changes in equity for the year then ended; and the notes to the financial statements, which include a description of the significant accounting policies.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities under ISAs (UK) are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We remained independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, which includes the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

Conclusions relating to going concern

We have nothing to report in respect of the following matters in relation to which ISAs (UK) require us to report to you where:

- the directors' use of the going concern basis of accounting in the preparation of the financial statements is not appropriate; or
- the directors have not disclosed in the financial statements any identified material uncertainties that may cast significant doubt about the company's ability to continue to adopt the going concern basis of accounting for a period of at least twelve months from the date when the financial statements are authorised for issue.

However, because not all future events or conditions can be predicted, this statement is not a guarantee as to the company's ability to continue as a going concern.

Reporting on other information

The other information comprises all of the information in the Annual Report other than the financial statements and our auditors' report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and, accordingly, we do not express an audit opinion or, except to the extent otherwise explicitly stated in this report, any form of assurance thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If we identify an apparent material inconsistency or material misstatement, we are required to perform procedures to conclude whether there is a material misstatement of the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report based on these responsibilities.

With respect to the Strategic Report and Directors' Report, we also considered whether the disclosures required by the UK Companies Act 2006 have been included.

Based on the responsibilities described above and our work undertaken in the course of the audit, ISAs (UK) require us also to report certain opinions and matters as described below.

Strategic Report and Directors' Report

In our opinion, based on the work undertaken in the course of the audit, the information given in the Strategic Report and Directors' Report for the year ended 30 June 2020 is consistent with the financial statements and has been prepared in accordance with applicable legal requirements.

In light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we did not identify any material misstatements in the Strategic Report and Directors' Report.

Manchester United Football Club Limited

Independent auditors' report to the members of Manchester United Football Club Limited (continued)

Responsibilities for the financial statements and the audit

Responsibilities of the directors for the financial statements

As explained more fully in the Statement of directors' responsibilities in respect of the financial statements, the directors are responsible for the preparation of the financial statements in accordance with the applicable framework and for being satisfied that they give a true and fair view. The directors are also responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the FRC's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditors' report.

Use of this report

This report, including the opinions, has been prepared for and only for the company's members as a body in accordance with Chapter 3 of Part 16 of the Companies Act 2006 and for no other purpose. We do not, in giving these opinions, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or into whose hands it may come save where expressly agreed by our prior consent in writing.

Other required reporting

Companies Act 2006 exception reporting

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- we have not received all the information and explanations we require for our audit; or
- adequate accounting records have not been kept by the company, or returns adequate for our audit have not been received from branches not visited by us; or
- certain disclosures of directors' remuneration specified by law are not made; or
- the financial statements are not in agreement with the accounting records and returns.

We have no exceptions to report arising from this responsibility.



Hazel Macnamara (Senior Statutory Auditor)
for and on behalf of PricewaterhouseCoopers LLP
Chartered Accountants and Statutory Auditors
Manchester

23 October 2020

Manchester United Football Club Limited
Statement of profit or loss

		Year ended 30 June	
	Note	2020 £'000	2019 £'000
Revenue from contracts with customers	4	487,460	601,935
Operating expenses	5	(486,757)	(570,081)
Operating profit before other income, other expenses and profit on disposal of intangible assets		703	31,854
Other income	8	8,761	9,513
Other expenses	8	(13,299)	(10,040)
Profit on disposal of intangible assets		18,370	25,799
Operating profit		14,535	57,126
Finance costs	9	(33,079)	(31,613)
Finance income	9	800	2,866
Net finance costs	9	(32,279)	(28,747)
(Loss)/profit before income tax		(17,744)	28,379
Income tax expense	10	(3,552)	(10,354)
(Loss)/profit for the year		(21,296)	18,025

Manchester United Football Club Limited
Statement of comprehensive income

	Note	Year ended 30 June	
		2020 £'000	2019 £'000
(Loss)/profit for the year		(21,296)	18,025
Other comprehensive loss:			
Items that may be reclassified to profit or loss			
Movements on hedges		(607)	(10,186)
Income tax credit relating to movements on hedges	10	211	1,731
Other comprehensive loss for the year, net of tax		(396)	(8,455)
Total comprehensive (loss)/income for the year		(21,692)	9,570

Manchester United Football Club Limited

Balance sheet

		As at 30 June	
	Note	2020 £'000	2019 £'000
ASSETS			
Non-current assets			
Property, plant and equipment	12	175,818	166,032
Right-of-use assets	13	2,129	-
Investment properties	14	6,196	6,277
Intangible assets	15	349,042	340,910
Investments	16	-	-
Trade receivables	17	43,694	9,889
Derivative financial instruments	18	1,609	30
		578,488	523,138
Current assets			
Contract assets – accrued revenue	4.2	44,682	38,082
Trade and other receivables	17	467,007	388,688
Derivative financial instruments	18	1,174	312
Cash and cash equivalents		42,028	290,087
		554,891	717,169
Total assets		1,133,379	1,240,307

Manchester United Football Club Limited

Balance sheet (continued)

As at 30 June			
	Note	2020 £'000	2019 £'000
EQUITY AND LIABILITIES			
Equity			
Share capital	19	1,009	1,009
Capital reserve		3,891	4,369
Hedging reserve		(4,374)	(3,978)
Retained earnings		48,523	114,353
Total equity		49,049	115,753
Non-current liabilities			
Deferred tax liabilities	20	4,731	7,867
Contract liabilities - deferred revenue	4.2	18,305	32,598
Trade and other payables	21	51,322	79,183
Borrowings	22	519,634	505,598
Lease liabilities	13	888	-
Derivative financial instruments	18	9,136	2,298
		604,016	627,544
Current liabilities			
Contract liabilities - deferred revenue	4.2	164,519	184,119
Trade and other payables	21	305,697	307,108
Income tax liabilities		3,510	330
Borrowings	22	5,605	5,453
Lease liabilities	13	983	-
		480,314	497,010
Total equity and liabilities		1,133,379	1,240,307

The notes on pages 17 to 49 are an integral part of these financial statements.

The financial statements on pages 12 to 49 were approved by the board of directors on 23 October 2020 and were signed on its behalf by:



E Woodward
Director
Registered Number: 00095489

Manchester United Football Club Limited
Statement of changes in equity

	Share capital £'000	Capital reserve £'000	Hedging reserve £'000	Retained earnings £'000	Total equity £'000
Balance at 1 July 2018	1,009	4,721	4,477	119,791	129,998
Profit for the year	-	-	-	18,025	18,025
Cash flow hedges	-	-	(10,186)	-	(10,186)
Tax credit relating to movements on hedges	-	-	1,731	-	1,731
Total comprehensive (loss)/income for the year	-	-	(8,455)	18,025	9,570
Dividends paid (note 11)	-	-	-	(23,326)	(23,326)
Tax expense relating to share based payments (note 10)	-	-	-	(137)	(137)
External borrowings fair value unwind	-	(424)	-	-	(424)
Tax credit relating to external borrowings fair value unwind (note 10)	-	72	-	-	72
Balance at 30 June 2019	1,009	4,369	(3,978)	114,353	115,753
Loss for the year	-	-	-	(21,296)	(21,296)
Cash flow hedges	-	-	(607)	-	(607)
Tax credit relating to movements on hedges	-	-	211	-	211
Total comprehensive loss for the year	-	-	(396)	(21,296)	(21,692)
Dividends paid (note 11)	-	-	-	(44,534)	(44,534)
External borrowings fair value unwind	-	(460)	-	-	(460)
Tax expense relating to external borrowings fair value unwind (note 10)	-	(18)	-	-	(18)
Balance at 30 June 2020	1,009	3,891	(4,374)	48,523	49,049

Manchester United Football Club Limited

Notes to the financial statements

1 General information

Manchester United Football Club Limited (the “Company”) is a private company limited by share capital domiciled and incorporated in the UK and registered in England and Wales. The address of its registered office is Sir Matt Busby Way, Old Trafford, Manchester, M16 0RA. The registered number of the Company is 00095489.

These financial statements are presented in pounds sterling and all values are rounded to the nearest thousand (£'000) except when otherwise indicated.

2 Summary of significant accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.1 Basis of preparation

Manchester United Football Club Limited meets the definition of a qualifying entity as defined in the Financial Reporting Standard 101 “Reduced Disclosure Framework” (FRS 101). The financial statements of the Company have been prepared in accordance with the Companies Act 2006 as applicable to companies using FRS 101. The financial statements have been prepared under the historical cost convention, as modified by the revaluation of certain financial assets and liabilities (including derivative financial instruments) which are recognised at fair value through profit and loss, unless hedge accounting applies.

The preparation of financial statements in conformity with FRS 101 requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Company’s accounting policies. The areas involving a higher degree of judgement or complexity, or areas where estimates and assumptions are significant to the financial statements are disclosed in note 3.

The following exemptions from the requirements of International Financial Reporting Standards (“IFRS”) have been applied in the preparation of these financial statements, in accordance with FRS 101:

- IFRS 7, “Financial Instruments: Disclosures”;
- Paragraphs 91 to 99 of IFRS 13, “Fair value measurement” (disclosure of valuation techniques and inputs used for fair value measurement of assets and liabilities);
- Paragraph 38 of IAS 1, “Presentation of financial statements” comparative information requirements in respect of:
 - paragraph 79(a)(iv) of IAS 1;
 - paragraph 73(e) of IAS 16 “Property, plant and equipment”;
 - paragraph 118(e) of IAS 38 “Intangible assets”; and
 - paragraphs 76 and 79(d) of IAS 40 “Investment property”.
- The following paragraphs of IAS 1 “Presentation of financial statements”:
 - 10(d), (statement of cash flows),
 - 16 (statement of compliance with all IFRS),
 - 38A (requirement for minimum of two primary statements, including cash flow statements),
 - 38B-D (additional comparative information),
 - 111 (cash flow statement information), and
 - 134-136 (capital management disclosures)
- IAS 7, “Statement of cash flows”;
- Paragraphs 30 and 31 of IAS 8 “Accounting policies, changes in accounting estimates and errors” (requirement for the disclosure of information when an entity has not applied a new IFRS that has been issued but is not yet effective);
- Paragraph 17 of IAS 24, “Related party disclosures” (key management compensation);
- Paragraph 18A of IAS 24, “Related party disclosures” (key management services provided by a separate management entity);
- The requirements in IAS 24, “Related party disclosures” to disclose related party transactions entered into between two or more members of a group;

Manchester United Football Club Limited

Notes to the financial statements (continued)

2 Summary of significant accounting policies (continued)

2.1 Basis of preparation (continued)

- The following paragraphs of IFRS 15 ‘Revenue from contracts with customers’:
 - 113(a),
 - 114,
 - 115,
 - 118,
 - 119(a)-(c),
 - 120-127,
 - 129
- The following paragraphs of IFRS 16 ‘Leases’:
 - 52,
 - 58,
 - 90,
 - 91,
 - 93

2.1.1 COVID-19 pandemic

The financial and operating results for the year ended 30 June 2020 have been prepared on the assumption as at 30 June 2020 that the 2020/21 Premier League season will be completed as scheduled in the year ending 30 June 2021 with a portion of matches played behind closed doors or with reduced occupancy.

Operationally, the impact of the pandemic and measures to prevent further spread continues to disrupt our businesses in a number of ways, most significantly in Broadcasting and Matchday operations. Government imposed restrictions resulted in the postponement of the Premier League, UEFA competitions and FA cup competition from 13 March 2020. The Museum, Stadium Tour and Red Café operations were closed from 17 March 2020, with Old Trafford closed to visitors from 20 March 2020.

The resumption of domestic competitions (Premier League and FA Cup) resulted in one Premier League home match, two Premier League away matches and an FA Cup quarter final away tie being played during the month of June 2020. All remaining domestic matches were played in July 2020 with the UEFA Europa League resuming and completing in August 2020. All matches from June 2020 were played behind closed doors. Old Trafford, the Museum and Stadium Tour operations remain closed.

The temporary postponement of all competitions has resulted in four home and six away matches relating to 2019/20 competitions being played at the start of the 2020/21 financial year. This includes three home and three away Premier League matches, the FA Cup semi-final, one Europa League home match and the Europa League single-leg quarter-final and semi-final. From June 2020, all matches have been played behind closed doors. This has significantly impacted fiscal 2020 Broadcasting revenue, recognized when home and away matches are played, and Matchday revenue, given the remaining matches have been played behind closed doors. Furthermore, Broadcasting revenues have been significantly impacted by rebates due to broadcasters following disruption of the 2019/20 competitions. The impact of COVID-19 on revenue has been partially offset by reduced Matchday costs due to postponement of all competitions (with all matches from June 2020 played behind closed doors), reduced travel and reduced costs related to the closure of the Old Trafford Megastore.

Manchester United Football Club Limited

Notes to the financial statements (continued)

2 Summary of significant accounting policies (continued)

2.1 Basis of preparation (continued)

2.1.1 COVID-19 pandemic (continued)

The disruption to our business, coupled with the ongoing forward-looking uncertainty, has had a significant impact on cash flows for the year ended 30 June 2020. This is primarily due to the COVID-19 impact on 2020/21 season Matchday cash receipts, with seasonal facility sales currently on hold given uncertainty around fans returning to the stadium, and the timing of commercial cash receipts in respect of the 2020/21 financial year.

Despite the ongoing uncertainty and impact on cash flow to 30 June 2020, the Company remains well placed with a strong balance sheet, including cash resources as at 30 June 2020 of £42.0 million. All funds are held as cash and cash equivalents and therefore available on demand. As at 30 June 2020, the Company also has access to an undrawn revolving facility of £150 million.

The Company's debt facilities include the \$425 million senior secured notes and the \$225 million secured term loan facility, the majority of which attract fixed interest rates. The Company's revolving facility, secured notes and term loan mature in 2025, 2027 and 2029 respectively. As at 30 June 2020, the Company was in compliance with all debt covenants.

The evolving and uncertain nature of the situation makes it challenging for Management to estimate the future performance of our businesses, particularly over the near to medium term and the impact on our financial and operating results cannot be forecast with certainty at this time.

2.1.2 Going concern

In light of the inherent uncertainties referred to in note 2.1.1 above, Management has considered the potential impact of COVID-19 on the business (and its ability to continue as a going concern) under various scenarios, including:

- The impact of playing Premier League, domestic cup and European 2020/21 competitions behind closed doors in their entirety;
- Prudent performance assumptions around UEFA and domestic cup competitions;
- Potential credit risk associated with accounts receivable and contract asset balances;
- A delay in the timing of cash inflows generated from broadcasting and commercial revenues; and
- A combination of the above factors.

Management has also considered various levers which the Company has at its disposal, in the event that there is further disruption to 2020/21 football competitions. Levers include reductions in uncommitted capital expenditure, operating cost items such as marketing, travel and entertaining, consultancy, training and development and employee costs.

As a result of this detailed assessment, including the various scenarios and levers available to Management, and with reference to the Company's balance sheet, existing committed facilities, but also acknowledging the inherent uncertainty of the current economic outlook, Management has concluded that there is a reasonable expectation that the Company has adequate resources to continue in operational existence for twelve months from the date of approval of these financial statements. Accordingly, Management continues to adopt the going concern basis in preparing the annual report and financial statements.

Manchester United Football Club Limited

Notes to the financial statements (continued)

2 Summary of significant accounting policies (continued)

2.1 Basis of preparation (continued)

2.1.3 New and amended standards adopted by the Company

The Company has applied the following standards and amendments for the first time for the annual reporting period commencing 1 July 2019:

- IFRS 16, “Leases”

The Company adopted IFRS 16 ‘Leases’ with effect from 1 July 2019. IFRS 16 introduced a single lease accounting model, requiring a lessee to recognise assets and liabilities for all leases with a term of more than 12 months, unless the underlying asset is of low value. The lessee is required to recognise a right-of-use asset representing the right to use the underlying asset, and a lease liability representing the obligation to pay lease payments.

The Company has elected to apply the ‘simplified approach’ on initial adoption of IFRS 16, consequently comparative information has not been restated. The Company also elected to apply the following transitional practical expedients:

- lease liabilities are initially measured at the present value of the remaining lease payments, discounted using the Company’s incremental borrowing rate determined as 2.22% as at 1 July 2019;
- right-of-use assets are measured at an amount equal to the lease liability; and
- operating leases with a remaining lease term of less than 12 months as at 1 July 2019 are accounted for as short-term leases.

The new treatment of leases has resulted in an increase in non-current assets and financial liabilities as these leases are capitalised and included on the Company balance sheet. The reduction in operating lease expenses is offset by an increase in depreciation and an increase in finance charges. This has resulted in a higher operating profit. This depreciation charge is constant over the lease period, but finance charges decrease as the remaining lease liability decreases, resulting in a net reduction in profit before tax in the early part of a lease arrangement but a positive profit impact towards the end of the contract. This is in contrast to the previous typical straight-line treatment of operating lease expenses under IAS 17.

The Company recognised right-of-use assets of £3.5 million on 1 July 2019 and lease liabilities of the same amount, measured as follows:

	£’000
Operating lease commitments disclosed as at 30 June 2019	3,844
Discounted using the Group’s incremental borrowing rate as at 1 July 2019	3,759
Less short term leases not recognized as a liability	(265)
Lease liability recognized as at 1 July 2019	3,494

Operating profit for the year ending 30 June 2020 has increased by approximately £0.1 million as a result of adopting the new standard. Profit before tax has decreased by approximately £0.1 million.

Lease payments were previously presented as operating cash flows. Lease payments are now split into payments for the principal portion of the lease liability which are presented as financing cash flows, and payments for the interest portion of the lease liability which are presented as operating cash flows. There is no impact on overall cash flow.

The Company’s activities as a lessor are not materially impacted by the new standard.

Manchester United Football Club Limited

Notes to the financial statements (continued)

2 Summary of significant accounting policies (continued)

2.1 Basis of preparation (continued)

2.1.3 New and amended standards adopted by the Company (continued)

- Phase 1 amendments to IFRS 9, “Financial instruments” for IBOR reform

Phase 1 amendments to IFRS 9, “Financial instruments” for IBOR reform are effective for annual reporting periods beginning on or after 1 January 2020 with earlier application permitted. The Company has applied early adoption of the amendments. These amendments have the effect that IBOR reform does not cause our hedge accounting to terminate.

2.1.4 New standards and interpretations not yet adopted

There are no other standards or interpretations that are not yet effective and that would be expected to have a material impact on the Company in the future reporting periods or on foreseeable future transactions.

2.2 Consolidation

The Company is a wholly owned subsidiary of Manchester United Limited and of its ultimate parent undertaking and controlling party, Manchester United plc. It is included in the consolidated financial statements of Manchester United plc which can be obtained from the website www.manutd.com. Therefore the Company is exempt by virtue of section 400 of the Companies Act 2006 from the requirement to prepare consolidated financial statements.

These financial statements are company only financial statements.

2.3 Segment reporting

The Company has one reportable segment, being the operation of a professional football club. The chief operating decision maker (being the Board and executive officers of Manchester United plc), who is responsible for allocating resources and assessing performance obtains financial information, being the Manchester United plc consolidated statement of profit or loss, consolidated balance sheet and consolidated statement of cash flows, and the analysis of changes in net debt, about the Group as a whole. The Company has investment properties, however, this is not considered to be a material business segment and is therefore not reported as such.

2.4 Foreign currency translation

a) Functional and presentation currency

Items included in the financial statements of the Company are measured using the currency of the primary economic environment in which the Company operates (‘the functional currency’). The financial statements are presented in pounds sterling, which is also the Company’s functional currency.

b) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are re-measured. Foreign exchange gains and losses resulting from the settlement of such transactions, and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies, are recognised in the statement of profit or loss. They are deferred in other comprehensive income if they relate to qualifying cash flow hedges. Foreign exchange gains and losses that relate to unhedged amounts owed to group undertakings are presented in the statement of profit or loss within finance costs or finance income. All other foreign exchange gains and losses are presented in the statement of profit or loss within operating expenses.

Manchester United Football Club Limited

Notes to the financial statements (continued)

2 Summary of significant accounting policies (continued)

2.5 Revenue recognition

Revenue is measured at the fair value of the consideration received or receivable from the Company's principal activities excluding transfer fees and value added tax. The Company's principal revenue streams are Commercial, Broadcasting and Matchday. The Company recognises revenue when the transaction price can be determined; when it is probable that it will collect the consideration to which it is entitled; and when specific criteria have been met for each of the Company's activities as described below.

In instances where the transaction price contains an element of variable or contingent consideration, revenue is recognised based on the most likely amount expected to be received, but only to the extent that it is highly probable that a significant reversal of cumulative revenue recognised will not occur when the uncertainty associated with the variable or contingent consideration is subsequently resolved.

(i) Commercial

Commercial revenue (whether settled in cash or value in kind) comprises revenue receivable from the exploitation of the Manchester United brand through sponsorship and other commercial agreements, including minimum guaranteed revenue, and fees for the Manchester United first team undertaking tours.

Revenue is recognised over the term of the sponsorship agreement in line with the performance obligations included within the contract and based on the sponsorship rights enjoyed by the individual sponsor. In instances where the sponsorship rights remain the same over the duration of the contract, revenue is recognised as performance obligations are satisfied evenly over time (i.e. on a straight-line basis). In respect of contracts with multiple performance obligations, the Group allocates the total consideration receivable to each separately identifiable performance obligation based on their relative fair values, and then recognises the allocated revenue as performance obligations are satisfied evenly over time (i.e. on a straight-line basis).

(ii) Broadcasting

Broadcasting revenue represents revenue receivable from all UK and overseas broadcasting contracts, including contracts negotiated centrally by the Premier League and UEFA.

Distributions from the Premier League comprise a fixed element (which is recognised evenly as each performance obligation is satisfied i.e. as each Premier League match is played), facility fees for live coverage and highlights of domestic home and away matches (which are recognised when the respective performance obligation is satisfied i.e. the respective match is played), and merit awards (which, being variable consideration, are recognised when each performance obligation is satisfied i.e. as each Premier League match is played, based on management's estimate of where the first team will finish at the end of the football season i.e. the most likely outcome).

Distributions from UEFA relating to participation in European competitions comprise market pool payments (which are recognised over the matches played in the competition, a portion of which reflects Manchester United's performance relative to the other Premier League clubs in the competition), fixed amounts for participation in individual matches (which are recognised when the matches are played) and an individual club coefficient share (which is recognised over the group stage matches).

Delays to the completion of the 2019/20 Premier League season, UEFA and domestic cup competitions due to COVID-19, has resulted in the deferral of certain Broadcasting revenues, which will be recognised as and when the remaining matches are played across the various competitions i.e. when the respective performance obligations have been met. Further, due to the delay to the 2019/20 domestic football season (as a result of COVID-19) and changes to broadcasting schedules, Broadcasting revenues for the year ended 30 June 2020 have been reduced to reflect a Premier League rebate due to broadcasters. The total rebate for the 2019/20 season is expected to be approximately £14.0 million. The amount recognised for the year ended 30 June 2020 is based upon the expected Premier League finishing position as at 30 June 2020 and the number of home and away Premier League matches played to 30 June 2020, as a percentage of the total 2019/20 Premier League season fixtures.

Manchester United Football Club Limited

Notes to the financial statements (continued)

2 Summary of significant accounting policies (continued)

2.5 Revenue recognition (continued)

(ii) Matchday

Matchday revenue is recognised based on matches played throughout the year with revenue from each match (including season ticket allocated amounts) only being recognised when the performance obligation is satisfied i.e. the match has been played. Revenue from related activities such as Conference and Events or the Museum is recognised as the event or service is provided or the facility is used.

Matchday revenue includes revenue receivable from all domestic and European Matchday activities from Manchester United matches at Old Trafford, together with the Company's share of gate receipts from domestic cup matches not played at Old Trafford and fees for arranging other events at the Old Trafford stadium. As the Company acts as principal in the sale of match tickets, the share of gate receipts payable to the other participating club and competition organisers for domestic cup matches played at Old Trafford is treated as an operating expense. As a result of COVID-19, all matches played from June 2020 are behind closed doors therefore no additional Matchday revenue related to 2019/20 competitions is expected.

2.6 Employee benefits

(i) Short-term obligations

Liabilities for wages and salaries, including non-monetary benefits and annual leave that are expected to be settled wholly within 12 months after the end of the period in which the employees render the related service, are recognised in respect of employees' services up to the end of the reporting period and are measured at the amounts expected to be paid when the liabilities are settled. The liabilities are presented as accruals and classified as current liabilities in the balance sheet.

(ii) Football staff remuneration

Remuneration is charged to operating expenses on a straight-line basis over the contract periods based on the amount payable to players and key football management staff for that period. Any performance bonuses are recognised when the Company considers that it is probable that the condition related to the payment will be achieved. Signing-on fees are typically paid to players and key football management staff in equal annual instalments over the term of the contract. Instalments are paid at or near the beginning of each financial year and recognised as prepayments within trade and other receivables. They are subsequently charged to the statement of profit or loss (as employee benefit expenses) on a straight-line basis over the financial year. Loyalty fees are bonuses which are paid to players and key football management staff either at the beginning of a renewed contract or in instalments over the term of their contract in recognition for either past or future performance. Loyalty bonuses for past service are typically paid in a lump sum amount upon renewal of a contract. These loyalty bonuses require no future service and are not subject to any claw-back provisions were the individual to subsequently leave the club during their new contract term. They are expensed once the Company has a present legal or constructive obligation to make the payment. Loyalty bonuses for ongoing service are typically paid in arrears in equal annual instalments over the term of the contract. These are paid at the beginning of the next financial year and the related charge is recognised within employee benefit expenses in the statement of profit or loss on a straight-line basis over the current financial year.

(ii) Post-employment pension obligations

The Company is one of a number of participating employers in The Football League Limited Pension and Life Assurance Scheme ('the scheme' – see note 23.1). The Company is unable to identify its share of the assets and liabilities of the scheme and therefore accounts for its contributions as if they were paid to a defined contribution scheme. The Company's contributions into this scheme are reflected within the statement of profit or loss when they fall due. Full provision has been made for the additional contributions that the Company has been requested to pay to help fund the scheme deficit.

The Company also operates a defined contribution scheme. The assets of the scheme are held separately from those of the Company in an independently administered fund. The Company's contributions into this scheme are recognised as an employee benefit expense when they are due.

Manchester United Football Club Limited

Notes to the financial statements (continued)

2 Summary of significant accounting policies (continued)

2.7 Exceptional items

Exceptional items are disclosed separately in the financial statements where it is necessary to do so to provide further understanding of the financial performance of the Company. They are material items of income or expense that have been shown separately due to the significance of their nature or amount.

2.8 Other income and other expenses

Other income represents royalties and centralised services recharged to other group undertakings. Other expenses represent royalties and centralised services recharged by other group undertakings.

2.9 Income tax

The income tax expense or credit for the period is the tax payable on the current period's taxable income based on the applicable income tax rate for each jurisdiction adjusted by changes in deferred tax assets and liabilities attributable to temporary differences and to unused tax losses.

The current income tax expense or credit is calculated on the basis of the tax laws enacted or substantively enacted at the end of the reporting period in the countries where the Company operates and generate taxable income. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to (or recovered from) the tax authorities.

Deferred income tax is provided in full, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated financial statements. Deferred income tax is determined using tax rates (and laws) that have been enacted or substantively enacted by the end of the reporting period and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

Deferred tax assets are recognised only if it is probable that future taxable profit will be available to utilise those temporary differences and losses.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority.

Current and deferred tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income, in which case the tax is also recognised in other comprehensive income.

2.10 Dividend distribution

Dividend distributions to the Company's shareholders are recognised when they become legally payable. In the case of interim dividends, this is when they are paid.

Manchester United Football Club Limited

Notes to the financial statements (continued)

2 Summary of significant accounting policies (continued)

2.11 Impairment of assets

Assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount might not be recoverable. An impairment loss is recognised in the statement of profit or loss for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use, and are calculated with reference to future discounted cash flows that the asset is expected to generate when considered as part of a cash-generating unit. Prior impairments are reviewed for possible reversal at each reporting date.

Investment properties are reviewed for impairment when there is a triggering event such as a decline in the property market. An impairment charge is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. Prior impairments are reviewed for possible reversal at each balance sheet date.

The Company will perform an impairment review on intangible assets, including player and key football management staff registrations, if adverse events indicate that the amortised carrying value of the asset may not be recoverable. While no individual can be separated from the single cash generating unit ("CGU"), being the operations of the Company as a whole, there may be certain circumstances where an individual is taken out of the CGU, when it becomes clear that they will not participate with the club's first team again, for example, a player sustaining a career threatening injury or is permanently removed from the first team squad for another reason. If such circumstances were to arise, the carrying value of the individual would be assessed against the Company's best estimate of the individual's fair value less any costs to sell.

2.12 Property, plant and equipment

Property, plant and equipment is initially measured at cost (comprising the purchase price, after deducting discounts and rebates, and any directly attributable costs) and is subsequently carried at cost less accumulated depreciation and any provision for impairment.

Subsequent costs, for example, capital improvements and refurbishment, are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. Where appropriate, the carrying amount of the replaced part is derecognised. All other repairs and maintenance are charged to the statement of profit or loss during the financial period in which they are incurred.

Land is not depreciated. With the exception of freehold property acquired before 1 August 1999, depreciation is calculated using the straight-line method to allocate cost, net of residual value over the estimated useful lives as follows:

Freehold property	75 years
Computer equipment and software (included within Plant and machinery)	3 years
Plant and machinery	4-5 years
Fixtures and fittings	7 years

Freehold property acquired before 1 August 1999 is depreciated on a reducing balance basis at an annual rate of 1.33%.

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period.

If an asset's carrying amount is greater than its estimated recoverable amount, it will be written down immediately to its recoverable amount (note 2.11).

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognised within operating expenses within the statement of profit or loss.

Manchester United Football Club Limited

Notes to the financial statements (continued)

2 Summary of significant accounting policies (continued)

2.13 Leases

The Company leases various offices and equipment. Until 30 June 2019, these leases of property, plant and equipment were classified and accounted for as operating leases and lease payments were charged to profit or loss on a straight-line basis over the period of the lease. From 1 July 2019, all leases with a term of more than 12 months, unless the underlying asset is of low value, are recognised as a right-of-use asset, with a corresponding lease liability, at the date at which the leased asset is available for use by the Company.

The lease agreements do not impose any covenants other than the security interests in the right-of-use assets that are held by the lessor. Right-of-use assets may not be used as security for borrowing purposes.

Lease liabilities are initially measured on a present value basis. Lease liabilities include the net present value of lease payments, less any lease incentives receivable. The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be determined, which is generally the case for leases of the Company, the Company's incremental borrowing rate is used, being the rate that the Company would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions.

Lease payments are allocated between principal and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

Right-of-use assets are initially measured at cost comprising the following:

- the amount of the initial measurement of the lease liability;
- any lease payments made at or before the commencement date less any lease incentives received;
- any initial direct costs; and
- restoration costs.

Right-of-use assets are depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis.

Payments associated with short-term leases of property, plant and equipment and all leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss. Short-term leases are leases with a lease term of 12 months or less.

2.14 Investment properties

Property that is held for long-term rental yields or for capital appreciation or both, and that is not occupied by the Company, is classified as investment properties.

Investment properties are initially measured at cost (comprising the purchase price, after deducting discounts and rebates, and any directly attributable costs) and is subsequently carried at cost less accumulated depreciation and any provision for impairment. Investment properties are depreciated using the straight-line method over 50 years.

Manchester United Football Club Limited

Notes to the financial statements (continued)

2 Summary of significant accounting policies (continued)

2.15 Intangible assets – registrations

a) Initial recognition

The costs associated with the acquisition of players' and key football management staff registrations are capitalised at the fair value of the consideration payable. Costs include transfer fees, FAPL levy fees, agents' fees incurred by the club and other directly attributable costs. Costs also include the fair value of any contingent consideration, which is primarily payable to the player's former club (with associated levy fees payable to the FAPL), once payment becomes probable. Subsequent reassessments of the amount of contingent consideration payable are also included in the cost of the player's registration. The estimate of the fair value of the contingent consideration payable requires management to assess the likelihood of specific performance conditions being met which would trigger the payment of the contingent consideration. This assessment is carried out on an individual player basis. The additional amount of contingent consideration potentially payable, in excess of the amounts included in the cost of players' registrations, is disclosed in note 25.2. Registrations costs are fully amortised using the straight-line method over the period covered by the player's and key football management staff contract.

b) Renegotiation

Where a contract is extended, any costs associated with securing the extension are added to the unamortised balance (at the date of the amendment) and the revised book value is amortised over the remaining revised contract life.

c) Disposals and loan fee income

Assets available for sale (principally players' registrations) are classified as assets held for sale when their carrying value is expected to be recovered principally through a sale transaction and a sale is considered to be highly probable. Highly probable is defined as being actively marketed by the club, with unconditional offers having been received prior to the end of a reporting period. These assets would be stated at the lower of the carrying amount and fair value less costs to sell.

Gains and losses on disposal of players' and key football management staff registrations are determined by comparing the fair value of the consideration receivable, net of any transaction costs, with the carrying amount and are recognised separately in the statement of profit or loss within profit on disposal of intangible assets. Where a part of the consideration receivable is contingent on specified performance conditions, this amount is recognised in the statement of profit or loss when receipt is virtually certain.

Loan fee income on players temporarily loaned to other football clubs is recognised separately in the statement of profit or loss within profit on disposal of intangible assets.

2.16 Intangible assets - other

Intangible assets comprise software applications and trademark registration costs and are initially measured at cost and are subsequently carried at cost less accumulated amortisation and any provision for impairment.

Amortisation is calculated using the straight-line method to write-down assets to their residual value over the estimated useful lives as follows:

Software applications	3 years
Trademark registration costs	10 years

The assets' residual values and useful lives are reviewed and adjusted if appropriate at each balance sheet date.

2.17 Investments

Investments are held at cost less any provision for impairment in value. Impairment reviews are performed by the directors when there has been an indication of potential impairment.

Manchester United Football Club Limited

Notes to the financial statements (continued)

2 Summary of significant accounting policies (continued)

2.18 Derivative financial instruments and hedging activities

Derivatives are initially recognised at fair value on the date a derivative contract is entered into and are subsequently re-measured to their fair value at the end of each reporting period. The accounting for subsequent changes in fair value depends on whether the derivative is designated as a hedging instrument, and if so, the nature of the item being hedged. The Company designates certain derivatives as hedges of a particular risk associated with the cash flows of recognised assets and liabilities or highly probable forecast transactions (cash flow hedge).

At inception of the hedge relationship, the Company documents the economic relationship between hedging instruments and hedged items, including whether changes in the cash flows of the hedging instruments are expected to offset changes in the cash flows of the hedged items. The Company documents its risk management objective and strategy for undertaking its hedge transactions.

Movements in the hedging reserve are shown in other comprehensive income are shown in the statement of changes in equity. The full fair value of a derivative is classified as a non-current asset or liability when the remaining maturity of the hedged item is more than 12 months and as a current asset or liability when the remaining maturity of the hedged item is less than 12 months.

Derivatives embedded in other financial instruments or host contracts are treated as separate derivatives when their risks and characteristics are not closely related to those of the host contracts and the host contracts are not measured at fair value through profit or loss.

(i) Cash flow hedges that qualify for hedge accounting

The effective portion of changes in the fair value of derivatives that are designated and qualify as cash flow hedges is recognised in other comprehensive income. The gain or loss relating to any ineffective portion is recognised immediately in the statement of profit or loss.

The Company hedges the foreign exchange risk on a portion of contracted, and hence highly probable, future US dollar revenues whenever possible using a portion of the Company's US dollar net borrowings owed to group undertakings as the hedging instrument. Foreign exchange gains or losses arising on re-translation of the Company's US dollar net borrowings owed to group undertakings are initially recognised in other comprehensive income, rather than being recognised in the statement of profit or loss immediately. The foreign exchange gains or losses arising on re-translation of the Company's unhedged US dollar loans owed to group undertakings are recognised in the statement of profit or loss immediately.

The Company hedges its cash flow interest rate risk where considered appropriate using interest rate swaps. Such interest rate swaps have the economic effect of converting borrowings from floating to fixed rates. The effective portion of changes in the fair value of the interest rate swap is initially recognised in other comprehensive income, rather than being recognised in the statement of profit or loss immediately. The gain or loss relating to any ineffective portion is recognised in the statement of profit or loss immediately.

Amounts previously recognised in other comprehensive income and accumulated in the hedging reserve within equity are reclassified to the statement of profit or loss in the periods when the hedged item affects the statement of profit or loss (for example, when the forecast transaction that is hedged takes place). When a hedging instrument expires or is sold or terminated, or when a hedge no longer meets the criteria for hedge accounting, any cumulative deferred gain or loss existing in equity at that time remains in equity and is reclassified when the forecast transaction is ultimately recognised in the statement of profit or loss. When a forecast transaction is no longer expected to occur, the cumulative gain or loss that was reported in equity is immediately reclassified to the statement of profit or loss.

Manchester United Football Club Limited

Notes to the financial statements (continued)

2 Summary of significant accounting policies (continued)

2.18 Derivative financial instruments and hedging activities (continued)

(ii) Derivatives that do not qualify for hedge accounting

Certain derivatives are not designated as hedging instruments and consequently do not qualify for hedge accounting. Changes in the fair value of any derivative instrument that does not qualify for hedge accounting are recognised immediately in the statement of profit or loss.

2.19 Trade and other receivables

Trade and other receivables are amounts due from customers for goods sold or services performed in the ordinary course of business. If collection is expected in one year or less, they are classified as current assets. If not, they are presented as non-current assets.

Trade and other receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment.

The Company applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade receivables and contract assets. To measure the expected credit losses, trade receivables and contract assets have been grouped based on shared credit risk characteristics and the days past due date. Contract assets relate to unbilled revenue and have substantially the same risk characteristics as the trade receivables for the same type of contracts.

2.20 Cash and cash equivalents

Cash and cash equivalents includes cash in hand, deposits held at call with banks, and, if applicable, other short-term highly liquid investments with original maturities of three months or less.

2.21 Share capital and reserves

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new shares are shown in equity as a deduction from the proceeds of the issue.

The hedging reserve is used to reflect the effective portion of changes in the fair value of derivatives that are designated and qualify as cash flow hedges.

2.22 Trade and other payables

Trade and other payables are obligations to pay for goods and services that have been acquired in the ordinary course of business from suppliers. Trade payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method. Amounts payable are classified as current liabilities if payment is due within one year or less. If not they are presented as non-current liabilities.

2.23 Borrowings

Borrowings are recognised initially at fair value, net of transaction costs incurred. Borrowings are subsequently carried at amortised cost; any differences between the proceeds (net of transaction costs) and the redemption value is recognised in the statement of profit or loss over the period of the borrowings using the effective interest rate method.

Manchester United Football Club Limited

Notes to the financial statements (continued)

3 Critical estimates and judgements

The preparation of financial statements requires the use of accounting estimates and assumptions which, by definition, will seldom equal the actual results. Management also needs to exercise judgement in applying the Company's accounting policies.

This note provides an overview of the areas that involved a higher degree of judgement or complexity, and of items which are more likely to be materially adjusted due to estimates and assumptions turning out to be wrong. Detailed information about each of these estimates, assumptions and judgements is included in other notes together with information about the basis of calculation for each affected line item in the financial statements.

3.1 Significant estimates and assumptions

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are addressed below.

a) Estimate of minimum guarantee revenue recognition

A number of our sponsorship contracts contain significant estimates in relation to the recognition of revenue in line with performance obligations. Minimum guaranteed revenue is recognised over the term of the sponsorship agreement in line with the performance obligations included within the contract and based on the sponsorship benefits enjoyed by the individual sponsor. In instances where the sponsorship rights remain the same over the duration of the contract, revenue is recognised as performance obligations are satisfied evenly over time (i.e. on a straight-line basis).

The Group has a 10-year agreement with adidas which began on 1 August 2015. The minimum guarantee payable by adidas over the term of the agreement is £750 million, subject to certain adjustments. Payments due in a particular year may increase if the club's men's first team wins the Premier League, FA Cup or Champions League, or decrease if the club's men's first team fails to participate in the Champions League for two or more consecutive seasons with the maximum possible increase being £4 million per year and the maximum possible reduction being 30% of the applicable payment for the year in which the second or other consecutive season of non-participation falls. Participation in the UEFA Champions League is typically secured via a top 4 finish in the Premier League or winning the UEFA Europa League. Revenue is currently being recognised based on management's estimate at 30 June 2020 that the full minimum guarantee amount is the most likely amount that will be received, as management does not expect two consecutive seasons of non-participation in the Champions League.

b) Estimate of fair value and impairment of investment properties

Investment properties were externally valued as of 30 June 2020 in accordance with the Royal Institution of Chartered Surveyors ("RICS") Valuation - Global Standards 2017 on the basis of Fair Value (as defined in the Standards). Further information is set out in note 14 below.

c) Estimate of fair value of registrations

The costs associated with the acquisition of players' and key football management staff registrations are capitalised at the fair value of the consideration payable, including an estimate of the fair value of any contingent consideration. Subsequent reassessments of the amount of contingent consideration payable are also included in the cost of the player's and key football management staff registration. The estimate of the fair value of the contingent consideration payable requires management to assess the likelihood of specific performance conditions being met which would trigger the payment of the contingent consideration. This assessment is carried out on an individual basis. The maximum additional amount that could be payable as of 30 June 2020 is disclosed in note 25.2. The estimate over the probability of contingent consideration payable could impact the net book value of registrations and amortisation recognised in the statement of profit or loss.

Management does not consider there to be any significant judgements in the preparation of the financial statements.

Estimates, assumptions and judgements are continually evaluated. They are based on historical experience and other factors, including expectations of future events that may have a financial impact on the Company and that are believed to be reasonable under the circumstances.

Manchester United Football Club Limited

Notes to the financial statements (continued)

4 Revenue from contracts with customers

4.1 Disaggregation of revenue from contracts with customers

The principal activity of the Company is the operation of a men's professional football club. All of the activities of the Company support the operation of the football club and the success of the first team in particular is critical to the ongoing development of the Company. Consequently the chief operating decision maker regards the Company as operating in one material segment, being the operation of a professional football club.

All revenue derives from the Company's principal activity in the UK. Revenue can be analysed into its three main components as follows:

	2020 £'000	2019 £'000
Commercial	265,055	258,447
Broadcasting	132,251	231,156
Matchday	90,154	112,332
	487,460	601,935

4.2 Assets and liabilities related to contracts with customers

The Company has recognised the following assets and liabilities related to contracts with customers:

	2020 £'000	2019 £'000
Current contract assets – accrued revenue	44,682	38,082
Total contract assets	44,682	38,082
Non-current contract liabilities – deferred revenue	18,305	32,598
Current contract liabilities – deferred revenue	164,519	184,119
Total contract liabilities	182,824	216,717

Contract assets - accrued revenue

A contract asset (accrued revenue) is recognised if commercial, broadcasting or Matchday revenue performance obligations are satisfied prior to the unconditional consideration being due under the contract. The Company considered the current and expected future economic impact surrounding the COVID-19 pandemic and determined that there was no significant impact on impairment of contract assets.

Contract liabilities - deferred revenue

Commercial, broadcasting and Matchday consideration which is received in advance of the performance obligation being satisfied is treated as a contract liability (deferred revenue). The deferred revenue is then recognised as revenue when the performance obligation is satisfied. The Company receives substantial amounts of deferred revenue prior to the previous financial year end which is then recognised as revenue throughout the current and, where applicable, future financial years.

Manchester United Football Club Limited **Notes to the financial statements (continued)**

5 Operating expenses - excluding exceptional items

	2020 £'000	2019 £'000
Employee benefit expenses (note 7)	(274,189)	(324,004)
Short-term and low value leases (2019: all operating lease costs)	(327)	(1,660)
Auditors' remuneration: audit services	(617)	(550)
Auditors' remuneration: tax compliance services	(136)	(148)
Auditors' remuneration: tax advisory services	(309)	-
Depreciation – property, plant and equipment (note 12)	(10,511)	(9,536)
Depreciation – right-of-use assets (note 13)	(1,603)	-
Depreciation – investment properties (note 14)	(81)	(80)
Amortisation (note 15)	(123,517)	(125,837)
Other operating expenses	(75,467)	(88,667)
Exceptional items (note 6)	-	(19,599)
	(486,757)	(570,081)

6 Exceptional items

	2020 £'000	2019 £'000
Compensation paid for loss of office	-	(19,599)
	-	(19,599)

Compensation paid for loss of office relates to amounts payable to a former team manager and certain members of the coaching staff.

Manchester United Football Club Limited **Notes to the financial statements (continued)**

7 Employee benefit expenses

	2020 £'000	2019 £'000
Wages and salaries	(242,557)	(287,482)
Social security costs	(28,896)	(34,091)
Other pension costs (note 23)	(2,736)	(2,431)
	(274,189)	(324,004)

Directors' emoluments in respect of services to the Company amounted to £6,783,000 (2019: £6,834,000), including Company contributions to defined contribution schemes of £5,000 (2019: £5,000). The number of directors who held office during the year and were members of a defined contribution scheme was 1 (2019: 1). Emoluments of the highest paid director amounted to £3,087,000 (2019: £3,160,000), including Company contributions to defined contribution schemes of £nil (2019: £nil).

The average monthly number of employees during the year, including directors, was as follows:

	2020 Number	2019 Number
By activity:		
Football - players	84	83
Football - technical and coaching	176	184
Administration and other	567	549
Average number of employees	827	816

8 Other income and other expenses

	2020 £'000	2019 £'000
Royalties and centralised services recharged to other group undertakings	8,761	9,513
Other income	8,761	9,513
	2020 £'000	2019 £'000
Royalties and centralised services recharged by other group undertakings	(13,299)	(10,040)
Other expenses	(13,299)	(10,040)

Manchester United Football Club Limited
Notes to the financial statements (continued)

9 Net finance costs

	2020	2019
	£'000	£'000
Interest payable on bank loans and overdrafts	(618)	(1,103)
Interest payable on secured term loan facility, senior secured notes and revolving facility	(19,485)	(18,358)
Interest payable on lease liabilities (note 13)	(66)	-
Foreign exchange losses on retranslation of unhedged US dollar borrowings	(4,350)	(2,704)
Unwinding of discount relating to registrations	(1,508)	(2,280)
Hedge ineffectiveness on cash flow hedges	(119)	-
Fair value movements on derivative financial instruments:		
Interest rate swaps	(6,838)	(6,788)
Embedded foreign exchange derivatives	(95)	(380)
Finance costs	(33,079)	(31,613)
Interest receivable on short-term deposits	800	2,807
Hedge ineffectiveness on cash flow hedges	-	59
Finance income	800	2,866
Net finance costs	(32,279)	(28,747)

Manchester United Football Club Limited **Notes to the financial statements (continued)**

10 Income tax expense

	2020 £'000	2019 £'000
Current tax		
Group relief	(2,294)	(3,492)
UK tax charge	(1,907)	(1,973)
Adjustments in respect of previous years	(1,364)	-
Foreign tax	(930)	-
Total current income tax expense	(6,495)	(5,465)
Deferred tax		
Origination and reversal of timing differences	3,207	(3,899)
Adjustments in respect of previous years	584	(990)
Impact of change in UK corporation tax rate	(848)	-
Total deferred tax credit/(expense)	2,943	(4,889)
Total income tax expense	(3,552)	(10,354)

A reconciliation of the total income tax expense is shown below.

	2020 £'000	2019 £'000
(Loss)/profit before tax	(17,744)	28,379
(Loss)/profit before tax multiplied by the weighted average UK Corporation tax rate of 19.0% (2019: 19.0%)	3,371	(5,392)
Effect of:		
Expenses not deductible for tax purposes	(300)	(498)
Transfer pricing adjustments	(4,065)	(4,007)
Adjustments in respect of previous years	(780)	(990)
Foreign tax	(930)	-
Impact of change in UK corporation tax rate	(848)	533
Total income tax expense	(3,552)	(10,354)

The tax credit recognised directly in other comprehensive income during the year was as follows:

	2020 £'000	2019 £'000
Deferred tax (note 20)	211	1,731
	211	1,731

Manchester United Football Club Limited **Notes to the financial statements (continued)**

10 Income tax expense (continued)

The tax expensed directly to equity during the year was as follows:

	2020	2019
	£'000	£'000
Deferred tax (note 20):		
Share based payments	-	(137)
External borrowings fair value unwind	(18)	72
	(18)	(65)

11 Dividends paid

Dividends paid in the year ended 30 June 2020 amounted to £44,534,000 (£44.16 per share). Dividends paid in the year ended 30 June 2019 amounted to £23,326,000 (£23.13 per share). The directors do not recommend the payment of a final dividend (2019: £nil).

Manchester United Football Club Limited

Notes to the financial statements (continued)

12 Property, plant and equipment

	Freehold property £'000	Plant and machinery £'000	Fixtures and fittings £'000	Total £'000
At 1 July 2019				
Cost	169,768	32,050	63,287	265,105
Accumulated depreciation	(32,694)	(27,640)	(38,739)	(99,073)
Net book amount	137,074	4,410	24,548	166,032
Year ended 30 June 2020				
Opening net book amount	137,074	4,410	24,548	166,032
Additions	1,917	2,660	15,720	20,297
Depreciation charge	(1,830)	(2,246)	(6,435)	(10,511)
Closing net book amount	137,161	4,824	33,833	175,818
At 30 June 2020				
Cost	171,685	34,682	78,168	284,535
Accumulated depreciation	(34,524)	(29,858)	(44,335)	(108,717)
Net book amount	137,161	4,824	33,833	175,818

Freehold property primarily comprises land at the Old Trafford stadium and miscellaneous buildings.

Property, plant and equipment with a net book amount of £134,007,000 (2019: £122,478,000) has been pledged to secure the secured term loan facility and senior secured notes borrowings of the Company (see note 22).

Capital commitments at the balance sheet date are disclosed in note 25.

Manchester United Football Club Limited

Notes to the financial statements (continued)

13 Leases

As explained in note 2 above, the Company has adopted IFRS 16 for leases where the Company is the lessee with effect from 1 July 2019.

(i) Amounts recognised in the consolidated balance sheet

The balance sheet shows the following amounts relating to leases:

Right-of-use assets:

	2020 £'000	2019 £'000
Property	1,864	-
Plant and machinery	265	-
Total	2,129	-

Additions to right-of-use assets in the year amounted £238,000.

Lease liabilities:

	2020 £'000	2019 £'000
Current	983	-
Non-current	888	-
Total lease liabilities	1,871	-

The following table provides an analysis of the movements in lease liabilities:

	£'000
As at 1 July 2019	-
Recognised on adoption of IFRS 16 (see note 2)	3,494
Cash flows	(1,927)
Acquisition	238
Other changes ⁽¹⁾	66
As at 30 June 2020	1,871

⁽¹⁾ Other changes relates to movement on accrued interest expense.

(ii) Amounts recognised in the consolidated statement of profit or loss:

	2020 £'000	2019 £'000
Depreciation charge of right-of-use assets		
Property	(1,482)	-
Plant and machinery	(121)	-
	(1,603)	-
Interest expense (included in finance cost)	(66)	-
Expense relating to short-term leases (included in operating expenses)	(299)	-
Expense relating to low value leases (included in operating expenses)	(28)	-

Manchester United Football Club Limited

Notes to the financial statements (continued)

14 Investment properties

	£'000
At 1 July 2019	
Cost	7,367
Accumulated depreciation	(1,090)
Net book amount	6,277
Year ended 30 June 2020	
Opening net book amount	6,277
Depreciation charge	(81)
Closing net book amount	6,196
At 30 June 2020	
Cost	7,367
Accumulated depreciation and impairment	(1,171)
Net book amount	6,196

Investment properties were externally valued as of 30 June 2020 in accordance with the Royal Institution of Chartered Surveyors ("RICS") Valuation - Global Standards 2017 on the basis of Fair Value (as defined in the Standards). The fair value of investment properties as of 30 June 2020 was £8,200,000 (2019: £8,400,000). The external valuers noted that the outbreak of COVID-19 has impacted global financial markets. Given the unknown future impact that COVID-19 might have on the real estate market, the external valuers recommend that the Company keep the valuation of these properties under frequent review. As at the valuation date, they consider that they can attach less weight to previous market evidence for comparison purposes, to inform opinions of value. Indeed, the current response to COVID-19 means they are faced with an unprecedented set of circumstances on which to base a judgment. Market activity is being impacted within the out-of-town retail market and valuations are therefore reported on the basis of "material valuation uncertainty" as per VPS 3 and VPGA 10 of the RICS Red Book Global. Consequently, less certainty, and a higher degree of caution, should be attached to the valuations within these sectors of the market than would normally be the case.

For the avoidance of doubt, the inclusion of the "material valuation uncertainty" declaration above does not mean that the valuations cannot be relied upon. Rather the phrase is used in order to be clear and transparent in the current extraordinary circumstances – less certainty can be attached to the valuation than would otherwise be the case.

Based upon the carrying value of investment properties and the inputs used in the external valuation, management does not expect any material impairment to investment properties in the next twelve months.

Fair value of investment properties is determined using inputs that are not based on observable market data, consequently the asset is categorized as Level 3.

As of 30 June 2020, the Company had no contractual obligations to purchase, construct or develop investment property (2019: £nil). As of 30 June 2020, the Company had no material contractual obligations for repairs, maintenance or enhancements to investment property (2019: not material).

Manchester United Football Club Limited

Notes to the financial statements (continued)

15 Intangible assets

	Registrations £'000	Other £'000	Total £'000
At 1 July 2019			
Cost	772,328	3,101	775,429
Accumulated amortisation	(433,566)	(953)	(434,519)
Net book amount	338,762	2,148	340,910
Year ended 30 June 2020			
Opening net book amount	338,762	2,148	340,910
Additions	182,813	896	183,709
Disposals	(52,060)	-	(52,060)
Amortisation charge	(122,696)	(821)	(123,517)
Closing net book amount	346,819	2,223	349,042
At 30 June 2020			
Cost	831,159	3,776	834,935
Accumulated amortisation	(484,340)	(1,553)	(485,893)
Net book amount	346,819	2,223	349,042

Other intangible assets comprise software applications and trademark registration costs. Software applications and trademark registration costs are fully amortised on a straight-line basis over the estimated useful lives of the assets, which are typically 3 years and 10 years respectively.

16 Investments

	Shares in group undertakings £'000
At 1 July 2019	-
Additions	-
At 30 June 2020	-

Shares in group undertakings as at 30 June 2020 relate to the following companies:

Subsidiaries	Principal activity	% of ownership interests
Manchester United Women's Football Club Limited*	Professional football club	100

* Direct investment of Manchester United Football Club Limited.

The above was incorporated and operates in England and Wales. The directors believe that net book value of investments in shares of group undertakings as at 30 June 2020 is supported by their underlying net assets and future forecasts. The registered office of all the above is Sir Matt Busby Way, Old Trafford, Manchester, M16 0RA, UK.

Manchester United Football Club Limited

Notes to the financial statements (continued)

17 Trade and other receivables

	2020 £'000	2019 £'000
Trade receivables	165,351	42,230
Less: provision for impairment of trade receivables	(11,188)	(11,854)
Net trade receivables	154,163	30,376
Amounts owed by group undertakings	349,910	353,824
Other receivables	238	1,152
Prepayments	6,390	13,225
	510,701	398,577
Less: non-current portion:		
Trade receivables	43,694	9,889
Non-current trade and other receivables	43,694	9,889
Current trade and other receivables	467,007	388,688

Trade receivables include transfer fees receivable from other football clubs of £57,726,000 (2019: £18,270,000), of which £43,694,000 (2019: £9,889,000) is receivable after more than one year.

Amounts owed by group undertakings are unsecured, interest free and repayable on demand.

18 Derivative financial instruments

	2020		2019	
	Assets £'000	Liabilities £'000	Assets £'000	Liabilities £'000
Derivatives used for hedging:				
Interest rate swaps	-	(9,136)	-	(2,298)
Forward foreign exchange contracts	223	-	-	-
Derivatives at fair value through profit or loss:				
Embedded foreign exchange derivatives	150	-	245	-
Forward foreign exchange contracts	2,410	-	97	-
	2,783	(9,136)	342	(2,298)
Less non-current portion:				
Derivatives used for hedging:				
Interest rate swaps	-	(9,136)	-	(2,298)
Derivatives at fair value through profit or loss:				
Embedded foreign exchange derivatives	54	-	30	-
Forward foreign exchange contracts	1,555	-	-	-
Non-current derivative financial instruments	1,609	(9,136)	30	(2,298)
Current derivative financial instruments	1,174	-	312	-

Manchester United Football Club Limited

Notes to the financial statements (continued)

19 Share capital

	2020 £'000	2019 £'000
Allotted and fully paid:		
1,008,546 (2019: 1,008,546) ordinary shares of £1 each	1,009	1,009

20 Deferred tax liabilities

The deferred tax liabilities comprise:

	2020 £'000	2019 £'000
Accelerated tax depreciation	830	927
Rolled over gain on player disposal	9,623	9,321
Other short-term timing differences	(5,722)	(2,381)
	4,731	7,867

The movements in deferred tax liabilities are as follows:

	Accelerated tax depreciation £'000	Rolled over gain on player disposal £'000	Losses carried forward £'000	Other ⁽¹⁾ £'000	Total £'000
At 1 July 2018	1,008	7,389	(4,910)	1,157	4,644
(Credited)/expensed to statement of profit or loss (note 10)	(81)	1,932	4,910	(1,872)	4,889
Credited to other comprehensive (loss)/income (note 10)	-	-	-	(1,731)	(1,731)
Expensed directly to equity (note 10)	-	-	-	65	65
At 30 June 2019	927	9,321	-	(2,381)	7,867
(Credited)/expensed to statement of profit or loss (note 10)	(97)	302	-	(3,148)	(2,943)
Credited to other comprehensive (loss)/income (note 10)	-	-	-	(211)	(211)
Expensed directly to equity (note 10)	-	-	-	18	18
At 30 June 2020	830	9,623	-	(5,722)	4,731

⁽¹⁾ The "Other" deferred tax asset balance primarily comprises foreign exchange differences; fair value movements recognised in the hedging reserve; pensions not paid in the year and salaries not paid before 31 March 2021.

Deferred tax assets are recognised on losses carried forward only to the extent that it is probable that they will be available for use against future profits and that there will be sufficient future taxable profit available against which the temporary differences can be utilised. At 30 June 2020 the Group had no unrecognised deferred tax assets (2019: £nil).

Manchester United Football Club Limited

Notes to the financial statements (continued)

21 Trade and other payables

	2020 £'000	2019 £'000
Trade payables	155,032	194,894
Amounts owed to group undertakings	93,088	81,638
Other payables	8,526	4,689
Accruals	68,525	91,457
Taxation and social security	31,848	13,613
	357,019	386,291
Less: non-current portion:		
Trade payables	50,065	77,438
Other payables – pension scheme deficit	1,257	1,745
Non-current trade and other payables	51,322	79,183
Current trade and other payables	305,697	307,108

Trade payables include transfer fees and other associated costs in relation to the acquisition of registrations of £107,820,000 (2019: £187,544,000) of which £50,065,000 (2019: £77,438,000) is due after more than one year.

Amounts owed to group undertakings are unsecured, interest free and repayable on demand.

Government assistance

The UK government has made available a range of business support measures during COVID-19. The Company has benefited directly from government assistance in the form of payment deferrals for VAT. The quarterly VAT payments totalling £15,171,000 for the periods ended 29 February 2020 and 31 May 2020, originally due 31 March 2020 and 30 June 2020 respectively, have been deferred until 31 March 2021.

Manchester United Football Club Limited

Notes to the financial statements (continued)

22 Borrowings

	2020 £'000	2019 £'000
Senior secured notes	336,015	326,050
Secured term loan facility	183,619	179,548
Accrued interest on senior secured notes	5,605	5,453
	525,239	511,051
Less: non-current portion:		
Senior secured notes	336,015	326,050
Secured term loan facility	183,619	179,548
Non-current borrowings	519,634	505,598
Current borrowings	5,605	5,453

The outstanding principal amount of the senior secured notes is \$425,000,000 (2019: \$425,000,000). The senior secured notes have a fixed coupon rate of 3.79% per annum and interest is paid semi-annually. The senior secured notes mature on 25 June 2027.

The Company has the option to redeem the senior secured notes in part, in an amount not less than 5% of the aggregate principal amount of the senior secured notes then outstanding, or in full, at any time at 100% of the principal amount plus a "make-whole" premium of an amount equal to the discounted value (based on the US Treasury rate) of the remaining interest payments due on the senior secured notes up to 25 June 2027.

The senior secured notes are guaranteed by Red Football Limited, Red Football Junior Limited, Manchester United Limited and MU Finance Limited and are secured against substantially all of the assets of those entities and Manchester United Football Club Limited.

The outstanding principal amount of the secured term loan facility is \$225,000,000 (2019: \$225,000,000). The secured term loan facility attracts interest of US dollar LIBOR plus an applicable margin of between 1.25% and 1.75% per annum and interest is paid monthly. The remaining balance of the secured term loan facility is repayable on 6 August 2029, although the Company has the option to repay the secured term loan facility at any time.

The secured term loan facility is guaranteed by Red Football Limited, Red Football Junior Limited, Manchester United Limited, MU Finance Limited and Manchester United Football Club Limited and is secured against substantially all of the assets of each of those entities.

The Company also has an undrawn committed revolving facility of up to £150,000,000 as at 30 June 2020. The facility terminates on 4 April 2025. Drawdowns would attract interest of LIBOR or EURIBOR plus an applicable margin of between 1.25% and 1.75% per annum (depending on the total net leverage ratio at that time).

Manchester United Football Club Limited

Notes to the financial statements (continued)

22 Borrowings (continued)

The Company's revolving facility, the secured term loan facility and the note purchase agreement governing the senior secured notes each contain certain covenants, including a financial maintenance covenant that requires the Red Football Limited group to maintain a consolidated profit for the period before depreciation, amortisation of, and profit on disposal of, registrations, exceptional items, net finance costs and tax ("EBITDA") of not less than £65 million for each 12 month testing period, as well as customary covenants, including (but not limited to) restrictions on incurring additional indebtedness; paying dividends or making other distributions, repurchasing or redeeming our capital stock or making other restricted payments; selling assets, including capital stock of restricted subsidiaries; entering into agreements that restrict distributions of restricted subsidiaries; consolidating, merging, selling or otherwise disposing of all or substantially all assets; entering into sale and leaseback transactions; entering into transactions with affiliates; and incurring liens. The Red Football Limited group has complied with all covenants under its revolving facility, the secured term loan facility and the note purchase agreement governing the senior secured notes during the 2020 and 2019 reporting period.

Manchester United Football Club Limited

Notes to the financial statements (continued)

23 Pensions

23.1 Defined benefit scheme

The Company participates in the Football League Pension and Life Assurance Scheme ("the Scheme"). The Scheme is a funded multi-employer defined benefit scheme, with 92 participating employers, and where members may have periods of service attributable to several participating employers. The Company is unable to identify its share of the assets and liabilities of the Scheme and therefore accounts for its contributions as if they were paid to a defined contribution scheme. The Company has received confirmation that the assets and liabilities of the Scheme cannot be split between the participating employers. The Company is advised only of the additional contributions it is required to pay to make good the deficit. These contributions could increase in the future if one or more of the participating employers exits the Scheme.

The last triennial actuarial valuation of the Scheme was carried out at 31 August 2017 where the total deficit on the ongoing valuation basis was £30,400,000. The accrual of benefits ceased within the Scheme on 31 August 1999, therefore there are no contributions relating to current accrual. The Group pays monthly contributions based on a notional split of the total expenses and deficit contributions of the Scheme.

The Company currently pays total contributions of £482,000 per annum and this amount will increase by 5% per annum from September 2020. Based on the actuarial valuation assumptions, this will be sufficient to pay off the deficit by 31 October 2023.

As of 30 June 2020, the present value of the Company's outstanding contributions (i.e. its future liability) is £1,745,000 (2019: £2,204,000). This amounts to £488,000 (2019: £459,000) due within one year and £1,257,000 (2019: £1,745,000) due after more than one year and is included within other payables.

The funding objective of the Trustees of the Scheme is to have sufficient assets to meet the Technical Provisions of the Scheme. In order to remove the deficit revealed at the previous actuarial valuation (dated 31 August 2014), deficit contributions are payable by all participating clubs. Payments are made in accordance with a pension contribution schedule. As the Scheme is closed to accrual, there are no additional costs associated with the accruing of members' future benefits. In the case of a club being relegated from the Football League and being unable to settle its debt then the remaining clubs may, in exceptional circumstances, have to share the deficit.

Upon the wind-up of the Scheme with a surplus, any surplus will be used to augment benefits. Under the more likely scenario of there being a deficit, this will be split amongst the clubs in line with their contribution schedule. Should an individual club choose to leave the Scheme, they would be required to pay their share of the deficit based on a proxy buyout basis (i.e. valuing the benefits on a basis consistent with buying out the benefits with an insurance company).

23.2 Defined contribution schemes

Contributions made to defined contribution pension arrangements are charged to the statement of profit or loss in the period in which they become payable and for the year ended 30 June 2020 amounted to £2,736,000 (2019: £2,431,000). As at 30 June 2020, contributions of £458,000 (2019: £335,000) due in respect of the current reporting year had not been paid over to the pension schemes.

The assets of all pension schemes to which the Company contributes are held separately from the Company in independently administered funds.

Manchester United Football Club Limited

Notes to the financial statements (continued)

24 Contingent liabilities

24.1 Contingent transfer fees

Under the terms of certain contracts with other football clubs in respect of player transfers, additional amounts would be payable by the Company if certain conditions are met. These excess amounts are only recognised within the cost of players' registrations when the Company considers that it is probable that the condition related to the payment will be achieved. The maximum additional amounts that could be payable is £79,018,000 (2019: £74,321,000).

At 30 June 2020, the potential amount payable by type of condition and category of player was

	First team squad	Other	Total
	£'000	£'000	£'000
Type of condition:			
MUFC appearances/team success/new contract	21,667	10,498	32,165
International appearances	11,722	45	11,767
Other	34,268	818	35,086
	67,657	11,361	79,018

At 30 June 2019, the potential amount payable by type of condition and category of player was

	First team squad	Other	Total
	£'000	£'000	£'000
Type of condition:			
MUFC appearances/team success/new contract	35,722	8,805	44,527
International appearances	11,573	22	11,595
Other	17,905	294	18,199
	65,200	9,121	74,321

Similarly, under the terms of contracts with other football clubs for player transfers, additional amounts would be payable to the Company if certain specific performance conditions are met. In accordance with the recognition criteria for contingent assets, such amounts are only disclosed by the Company when probable and recognised when virtually certain. As of 30 June 2020, the amount of such receipt considered to be probable was £4,026,000 (2019: £721,000).

24.2 Other contingent liabilities

At 30 June 2020, the Company had no material contingent liabilities in respect of legal claims arising in the ordinary course of business (2019: none).

Manchester United Football Club Limited

Notes to the financial statements (continued)

25 Commitments

25.1 Capital commitments

As at 30 June 2020, the Group had contracted capital expenditure relating to property, plant and equipment amounting to £972,000 (2019: £3,794,000) and to other intangible assets amounting to £405,000 (2019: £nil). These amounts are not recognised as liabilities.

25.2 Non-cancellable operating leases

(i) The Company as lessee

The Company leases various offices and equipment under non-cancellable operating lease agreements. The leases have varying terms and renewal rights. On renewal, the terms of the leases are renegotiated. From 1 July 2019, the Company has recognised right-of-use assets for these leases, except for short term and low value leases. See note 2 and note 14 for further information. Commitments for minimum lease payments in relation to non-cancellable short-term and low value leases (2019: all operating leases) are payable as follows:

	2020 £'000	2019 £'000
No later than 1 year	65	1,822
Later than 1 year and no later than 5 years	140	2,022
	205	3,844

(ii) The Company as lessor

The Company leases out its investment properties. The future aggregate minimum rentals receivable under non-cancellable operating leases are as follows:

	2020 £'000	2019 £'000
No later than 1 year	453	608
Later than 1 year and no later than 5 years	46	471
	499	1,079

Manchester United Football Club Limited

Notes to the financial statements (continued)

26 Events occurring after the reporting period

26.1 Registrations

The playing registrations of certain footballers have been disposed of on a permanent or temporary basis, subsequent to 30 June 2020, for total net proceeds of £6,545,000. The associated net book value was £13,519,000. Also subsequent to 30 June 2020, solidarity contributions, sell-on fees and contingent consideration totalling £8,042,000, became receivable in respect of previous playing registration disposals.

Subsequent to 30 June 2020, the playing registrations of certain players were acquired or extended for a total consideration, including associated costs, of £101,260,000. Payments are due within the next 5 years. Also subsequent to 30 June 2020, sell-on fees and contingent consideration totalling £4,224,000, became payable in respect of previous playing registration acquisitions.

26.2 COVID-19

Subsequent to 30 June 2020, following the postponement of a number of matches due to COVID-19, the 2019/20 Premier League season completed, and our men's first team achieved a third place finishing position. As a result of our men's first team performance during the 2019/20 season, our men's first team will participate in the 2020/21 Champions League.

26.3 General Motors (Chevrolet)

In August 2020, due to the disruption caused by the pandemic, the Company entered into a variation agreement with General Motors (Chevrolet) to extend the maturity date of the original shirt sponsor agreement by a period of six months to 31 December 2021. There are no other significant changes to the sponsorship rights or total consideration, which will now be paid in sterling via instalments during the period to 30 June 2021. The payment of the remaining contract consideration in sterling means that the cash flow hedge in place no longer meets the respective criteria for hedge accounting and the cumulative foreign exchange loss in equity will be immediately reclassified to statement of profit or loss.

26.4 Revolving facility

On 14 October 2020, the Company entered into a new revolving facility agreement of up to £50 million with an interest rate of LIBOR plus a fixed margin per annum. The new revolving facility agreement has a maturity date of 4 July 2025.

The obligations of Manchester United Football Club Limited under the new revolving facility agreement are guaranteed by Red Football Limited, Red Football Junior Limited, Manchester United Limited, MU Finance Limited and Manchester United Football Club Limited and secured against substantially all of the assets of those entities. The general covenants under the new revolving facility agreement are consistent with the existing revolving facilities agreement.

27 Ultimate parent undertaking and controlling party

The immediate parent undertaking is Manchester United Limited. The ultimate parent undertaking and controlling party is Manchester United plc, a company incorporated in the Cayman Islands and listed on the New York Stock Exchange. Manchester United plc is the parent undertaking of the largest group of undertakings to consolidate these financial statements at 30 June 2020. The consolidated financial statements of Manchester United plc can be obtained from the website www.manutd.com. Manchester United plc is controlled by family trusts affiliated with the Glazer family.

Red Football Limited is the parent undertaking of the smallest group of undertakings to consolidate these financial statements 30 June 2020. The consolidated financial statements of Red Football Limited can be obtained from the Company Secretary, Red Football Limited, Old Trafford, Manchester, M16 0RA.